

ANALYST / BUSINESS ANALYST ROLES

Preparation Guide for Analyst & Business Analyst Interviews

A complete, example-driven guide to business judgement, data interpretation, guesstimates, case studies, and the personal interview — for entry-level and intern analyst roles across consulting, strategy, and research-focused business functions.

Prepared as a general-purpose companion guide · Not tied to any single employer's format

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01. What These Roles Actually Test

"Business Analyst," "Intern Analyst," "Research Analyst," and similar entry-level titles at consulting firms, strategy teams, market research firms, and corporate insights functions are usually evaluated on the same five underlying muscles, regardless of exact job title:

Skill	What it really means
Business Judgement	Can you reason sensibly through an ambiguous business problem without a script?
Quantitative / Data Interpretation	Can you read numbers fast and correctly, and know what they imply?
Structured Problem-Solving	Can you break a vague question into a clean, logical structure (guesstimates, cases)?
Communication	Can you explain your thinking clearly, concisely, and in the right order?
Fit / Motivation	Will you work well on a team, take feedback, and actually want this kind of work?

Key mindset shift: None of these rounds are really testing "do you know the answer." They're testing "how do you think when you don't." Interviewers consistently care more about your process than your final number.

02. Business Judgement

These scenarios drop you into a business situation and ask what you'd prioritize, investigate, or recommend — either as an MCQ in an online test or as a verbal discussion in an interview.

The Framework

1. **Clarify the objective.** What outcome are we actually optimizing for (profit, market share, customer retention)?
2. **Break the problem down.** Most business problems reduce to a small number of drivers. The most useful default: $Profit = Revenue - Cost$, and $Revenue = Price \times Volume$.
3. **Generate 2-3 hypotheses**, not ten. Depth beats breadth.
4. **Identify what data would confirm or kill each hypothesis.**
5. **Prioritize by impact and speed** — which lever moves the needle fastest with the resources available?

WORKED EXAMPLE

Scenario: A mid-sized retail chain's same-store sales dropped 15% quarter-on-quarter, even though foot traffic stayed flat. What would you investigate first?

Reasoning: $Revenue = Traffic \times Conversion Rate \times Average Transaction Value$. Traffic is flat, so the drop must be coming from conversion rate, average transaction value, or both.

- Conversion rate down? → Check for stockouts, pricing complaints, staffing gaps, or a competitor promotion pulling browsers away before purchase.
- Average transaction value down? → Check for a shift in product mix (more low-margin items sold), discounting, or fewer add-on/upsell purchases.

Answer: Pull conversion rate and average transaction value data first — that single split tells you which half of the problem to chase, rather than guessing at causes for a 15% drop in traffic that never actually happened.

WORKED EXAMPLE

Scenario: A SaaS company's monthly recurring revenue is growing, but its customer churn rate has quietly doubled. Leadership wants a one-line recommendation before an all-hands next week. What do you say?

Reasoning: Growing revenue can mask a churn problem if new-customer acquisition is outpacing losses — but that's a treadmill, not a healthy business, and it usually means acquisition cost is quietly rising too.

Answer: "Revenue growth is currently coming from new customer acquisition outrunning a churn problem, not from a healthier customer base — recommend pausing the all-hands headline number and first segmenting churn by cohort and reason to find the root cause before it erodes growth entirely."

Common trap to avoid: Picking the option that sounds impressive (e.g., "launch a new product line") over the option that's actually diagnostic. In judgement questions, the correct answer is almost always the one that *gathers information* or *fixes the most obvious, highest-impact lever* — not the boldest strategic move.

03. Data Interpretation & Quant Reasoning

These test how fast and accurately you can extract insight from tables, charts, and numbers — not advanced statistics.

Core Formulas to Have Reflexive

Concept	Formula
% Change	$(\text{New} - \text{Old}) / \text{Old} \times 100$
CAGR (Compound Annual Growth Rate)	$(\text{End Value} / \text{Start Value})^{(1/\text{number of years})} - 1$
Market Share	$\text{Company Sales} / \text{Total Market Sales}$
Weighted Average	$\Sigma(\text{weight} \times \text{value}) / \Sigma(\text{weight})$
Break-even Volume	$\text{Fixed Costs} / (\text{Price} - \text{Variable Cost per Unit})$
Profit Margin	$\text{Profit} / \text{Revenue} \times 100$

WORKED EXAMPLE

Data: A company's revenue by region (INR crore):

Region	2023	2024	2025
North	120	132	150
South	90	95	110
East	60	58	52
West	150	170	205

Q1: What is the CAGR of West region revenue from 2023 to 2025?
Answer: $(205/150)^{(1/2)} - 1 = (1.367)^{0.5} - 1 \approx 1.169 - 1 = \sim\textbf{16.9\%}$

Q2: Which region is dragging down overall growth, and what's its 2023→2025 % change?
Answer: East. % change = $(52 - 60)/60 \times 100 = \textbf{-13.3\%}$ — the only region in decline while every other region grew.

Q3: What % of total 2025 revenue does West contribute?
Answer: Total 2025 = $150+110+52+205 = 517$. West share = $205/517 \times 100 \approx \textbf{39.7\%}$

Speed tip: Read the axis labels and units first (crore vs. lakh, % vs. absolute), then the trend, and only then hunt for the specific number the question asks for. Most DI mistakes come from answering the wrong unit, not doing the wrong math.

04. Guesstimates (Market Sizing)

Guesstimates ask you to estimate a number you couldn't possibly know exactly — "how many petrol pumps are there in Delhi?" — using logical structure rather than memorized facts. Interviewers care about your approach, not precision.

The Framework

1. **Clarify the question** out loud (scope: city vs. country, per year vs. total, etc.)
2. **Pick an approach:** top-down (start from a big known number and narrow down) or bottom-up (build up from a small, verifiable unit).
3. **Break it into a tree** of estimable components.
4. **Assign round, defensible numbers** to each branch — it's fine to say "I'll assume..."
5. **Calculate, then sanity-check** the final number against something you know (e.g., "does that mean one X per 500 people? Does that feel right?").

WORKED EXAMPLE 1 — BOTTOM-UP

Question: Estimate the number of tea stalls in Mumbai.

Structure:

- Assume Mumbai's population ≈ 1.2 crore (12 million)
- Assume average household size $\approx 4 \rightarrow \sim 3$ million households
- Assume 1 tea stall serves a localized catchment of ~ 150 households (walking distance, high tea-drinking culture in India)

Calculation: $3,000,000 \text{ households} / 150 \text{ households per stall} = \sim 20,000 \text{ tea stalls}$

Sanity check: That's roughly 1 stall per 600 people — plausible for a city where street-side tea stalls are extremely common, so the number passes the smell test.

WORKED EXAMPLE 2 — TOP-DOWN

Question: Estimate the annual market size (in INR) for umbrellas in India.

Structure:

- India's population ≈ 140 crore
- Assume an average household of 4 buys 1 new umbrella every 2 years $\rightarrow 0.5$ umbrellas/household/year
- $140 \text{ crore} / 4 = 35 \text{ crore households}$
- $35 \text{ crore} \times 0.5 = 17.5 \text{ crore umbrellas sold per year}$
- Assume average price per umbrella $\approx \text{INR } 250$

Calculation: $17.5 \text{ crore} \times 250 = \text{INR } 4,375 \text{ crore } (\sim \text{USD } 525 \text{ million}) \text{ annual market}$

Sanity check: State this is a rough order-of-magnitude figure and flag the biggest assumption driving it (replacement frequency) — showing awareness of your own estimate's weak point is itself a strong signal to the interviewer.

Rule of thumb: Round aggressively (140 crore, not 143.8 crore), state every assumption out loud, and never go silent while calculating — narrate your thinking. The math is almost never the point; the structure is.

05. Case Studies

A case study interview presents a business problem (declining profits, a market entry decision, an operational bottleneck) and asks you to work toward a recommendation in real time, usually with the interviewer feeding you data as you ask for it.

The Framework

1. **Restate the problem** in your own words and confirm the objective (e.g., "So we want to understand why profit fell and recommend a fix — is that right?")
2. **Take a moment to structure** — it's completely acceptable to say "give me a minute to think" and sketch an issue tree.
3. **Walk through your structure out loud**, branch by branch, before diving into any one area.
4. **Ask for data** relevant to each branch rather than guessing.
5. **Synthesize into a clear recommendation** at the end — lead with the answer, then the top 2–3 reasons.

WORKED EXAMPLE — FULL MINI-CASE

Prompt: "Our client runs a chain of coffee shops. Profit is down 20% year-on-year even though the number of stores hasn't changed. What's going on, and what should they do?"

Step 1 — Structure: Profit = Revenue – Cost. Break each side down:

- **Revenue side:** Revenue per store = Footfall × Conversion × Average Ticket Size. Has this fallen per store, or is it store-mix driven?
- **Cost side:** Cost of goods sold (coffee, milk, packaging), rent, labor, marketing. Has any single cost category spiked?

Step 2 — Ask for data. You're told: revenue per store is flat, but cost of goods sold as a % of revenue rose from 32% to 41% year-on-year, driven by a rise in coffee bean and milk prices.

Step 3 — Diagnose. The problem isn't demand — it's a margin squeeze from rising input costs that hasn't been passed through to pricing.

Step 4 — Recommend.

- Short-term: selectively raise prices on high-volume items where customers are least price-sensitive (e.g., specialty drinks vs. basic coffee).
- Medium-term: renegotiate supplier contracts or diversify sourcing to reduce input cost volatility.
- Flag: monitor volume/footfall closely after any price change to ensure the fix doesn't trade a margin problem for a demand problem.

Why this answer works: It's structured, uses the data given rather than ignoring it, and ends with a clear, prioritized recommendation — not just a list of observations.

06. The Personal Interview (Fit)

Fit interviews assess whether you'll work well on a team, handle pressure and feedback, and are motivated for the right reasons. Use the **STAR method** — Situation, Task, Action, Result — to keep answers tight and concrete.

Common Question Categories

- "Tell me about yourself" / walk me through your resume
- "Why this firm / this type of role?"
- A time you worked in a team under pressure or disagreement
- A time you failed and what you learned
- A time you had to persuade someone / handle conflicting priorities
- Leadership example, even in a non-formal-leader role

WORKED EXAMPLE — STAR ANSWER

Question: "Tell me about a time you had to convince a team to change direction."

Situation: "During a college project, our team of five had already built half a marketing plan around one customer segment."

Task: "Two weeks before submission, I noticed our own survey data actually pointed to a different, more profitable segment."

Action: "Rather than just asserting it, I pulled together a one-page comparison of both segments' size and willingness-to-pay from our data, and proposed we spend 30 minutes as a team reviewing it before deciding — so it felt like a joint decision, not me overriding earlier work."

Result: "The team agreed to pivot; the revised plan scored among the top three in the class, and two teammates later said they appreciated that I brought data instead of just an opinion."

Why this works: Specific, shows initiative without steamrolling the team, and ties back to a data-driven approach — relevant to an analyst role.

Prep tip: Have 4–5 stories ready (not memorized word-for-word) that can flex to cover teamwork, conflict, failure, leadership, and initiative — most PI questions are really just these five themes asked in different wording.

07. Communication: The Pyramid Principle

How you say your answer matters almost as much as the answer itself. The single highest-leverage habit: **lead with your conclusion, then support it** — never build up to the answer at the end.

Weak structure	Strong structure (Pyramid Principle)
"So first I looked at revenue, then I checked costs, then I noticed margins were falling, so... I think we should raise prices."	"I'd recommend a targeted price increase. Here's why: margins fell 9 points due to input cost inflation, not a demand problem, and volume has stayed flat."

Practice this pattern out loud before your interview: Answer first, in one sentence → then your top 2-3 supporting reasons → then, only if asked, the detail underneath each reason.

08. Practice Question Bank

Business Judgement

Q1. A quick-commerce app sees rising orders but falling profit per order. What's the first thing you'd check?

Hint: Split delivery cost per order and discount/promo spend per order from the revenue side — rising orders can hide an unsustainable subsidy per order.

Q2. A hotel chain has high occupancy but low profitability. What would you investigate?

Hint: Check average room rate vs. cost per occupied room — high occupancy at heavily discounted rates can still be unprofitable.

Q3. An e-commerce brand's customer acquisition cost has doubled in six months. What questions would you ask before recommending a fix?

Hint: Has channel mix shifted (cheaper organic vs. expensive paid)? Has competitor ad spend intensified? Has conversion rate on ad clicks dropped?

Q4. A B2B software company's sales cycle length has increased from 45 to 70 days. Is this necessarily bad?

Hint: Not automatically — check if deal size or win rate rose alongside it; a longer cycle chasing bigger, higher-probability deals can be a good trade-off.

Q5. A restaurant's food cost as a % of revenue is within industry norms, but profit is still low. Where else would you look?

Hint: Labor cost, rent, and wastage/spoilage are the other major cost buckets — the problem may not be pricing or COGS at all.

Data Interpretation

Q1. A product's price rose from INR 200 to INR 250. What is the % increase?

Answer: $(250-200)/200 \times 100 = 25\%$

Q2. A company's revenue grew from INR 80 crore to INR 140 crore over 4 years. What's the approximate CAGR?

Answer: $(140/80)^{(1/4)} - 1 = (1.75)^{0.25} - 1 \approx 15\%$

Q3. Out of 1,20,000 total units sold, Product A sold 45,000 units. What % share does Product A hold?

Answer: $45,000/1,20,000 \times 100 = 37.5\%$

Q4. Fixed costs are INR 10 lakh, price per unit is INR 500, variable cost per unit is INR 300. What's the break-even volume?

Answer: $10,00,000 / (500-300) = 5,000 \text{ units}$

Guesstimates

Q1. Estimate the number of smartphones sold in India in a year.

Approach: Population $\approx$ 140 crore $\rightarrow$ assume 65% own a smartphone $\approx$ 91 crore owners $\rightarrow$ assume average replacement cycle of 3 years $\rightarrow$ $\sim$ 30 crore units/year.

Q2. Estimate the number of birthday cakes sold in Bangalore in a year.

Approach: Bangalore population $\approx$ 1.3 crore $\rightarrow$ assume 40% buy a cake for their birthday $\rightarrow$ $\sim$ 52 lakh cakes/year (before adjusting for other cake-buying occasions).

Q3. Estimate the number of gyms in a city of 50 lakh people.

Approach: Assume 1 gym serves a catchment of $\sim$ 8,000–10,000 people in dense urban areas $\rightarrow$ $\sim$ 500–625 gyms.

Personal Interview Prompts (practice out loud)

Q1. Walk me through your resume in two minutes.

Q2. Why do you want to work in this type of analyst role rather than a pure technical job?

Q3. Tell me about a time you received tough feedback. How did you respond?

Q4. Describe a situation where you had to manage multiple deadlines at once.

Q5. What's a business or industry you've been following recently, and why does it interest you?

09. A 14-Day Preparation Plan

Days 1-2	Learn the frameworks in this guide (business judgement, guesstimate structure, case structure, STAR). Don't jump to practice yet — internalize the "shape" of a good answer first.
Days 3-5	Drill Data Interpretation and quant formulas daily (20-30 min/day) until CAGR, % change, and weighted averages are reflexive.
Days 6-8	Practice 2 guesstimates per day out loud (record yourself if possible) — focus on narrating assumptions, not getting the "right" number.
Days 9-11	Practice 1 full case study per day with a friend, senior, or by talking yourself through it — emphasize structure before diving into detail.
Days 12-13	Prepare and rehearse 5 STAR stories covering teamwork, failure, leadership, conflict, and initiative. Practice the two-minute resume walkthrough.
Day 14	Light review only — reread this guide's frameworks, sleep well, prep logistics (device, ID, quiet room) for the actual round.

10. Resources & Final Checklist

Useful Resources

- **Guesstimates & Case Structure:** "Case in Point" (Marc Cosentino), "Case Interview Secrets" (Victor Cheng)
- **Data Interpretation drills:** Any CAT/GMAT-style DI-LR practice set (widely available free online)
- **Communication structure:** "The Pyramid Principle" (Barbara Minto) — even just reading a summary helps
- **Mock practice:** Practice guesstimates and cases out loud with a peer — verbalizing is a completely different skill from thinking silently

Final Day-Before Checklist

- ☐ Reviewed all five frameworks (judgement, DI, guesstimates, case, STAR) — not memorizing, just refreshing the shape
- ☐ Rehearsed the two-minute "walk me through your resume" answer out loud
- ☐ Picked and briefly reviewed 5 STAR stories
- ☐ Solved 2-3 fresh practice questions from each category (not ones already memorized) to test real-time thinking
- ☐ Confirmed all technical/logistics details for the actual round (link, time, ID, device)
- ☐ Got a full night's sleep — judgement and mental math both degrade fast with fatigue

Last word: Every framework in this guide is a scaffold, not a script. Interviewers can tell the difference between someone reciting a memorized structure and someone genuinely thinking. Use the structure to organize your thoughts — then just talk like a person.